

# Business Responsibility Report

In terms of Regulation 34(2)(f) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended, Business Responsibility Report (BRR) in the Annual Report is mandatory for the top 1000 listed companies, based on market capitalisation as on 31st March of every year. The BRR is based on the format suggested by SEBI.

## SECTION A: GENERAL INFORMATION ABOUT THE COMPANY

1. **Corporate Identity Number (CIN) of the Company:**  
L24202MH1920PLC000825
2. **Name of the Company:** Kansai Nerolac Paints Limited
3. **Registered address:** Nerolac House, Ganpatrao Kadam Marg, Lower Parel, Mumbai - 400 013, Maharashtra
4. **Website:** www.nerolac.com
5. **Email ID:** investor@nerolac.com
6. **Financial year reported:** 1st April, 2021 to 31st March, 2022
7. **Sector(s) that the Company is engaged in (industrial activity code wise):**

| NIC Code of the product | Description                                              |
|-------------------------|----------------------------------------------------------|
| 20221                   | Manufacture of paints and varnishes, enamels or lacquers |
8. **Key product that the Company manufactures/ provides (as in balance sheet):** Paints
9. **Total number of locations where business activity is undertaken by the Company:**
  - (a) Number of International Locations: The Company has three subsidiaries abroad, namely KNP Japan Private Limited in Nepal, Kansai Paints Lanka (Private) Limited in Sri Lanka and Kansai Nerolac Paints (Bangladesh) Limited in Bangladesh. The Company has one domestic subsidiary, Nerofix Pvt. Ltd.
  - (b) Number of National Locations:
    - Manufacturing Facilities: 8 including facilities of the merged entities, Marpol Private Limited and Perma Construction Aids Private Limited.

- R&D Centre: 1 main R&D centre and 5 local R&D centres (at plant locations)
- Depot/Sales Locations: 99 (At start of year was 99, Closed & Added during the year: NIL)
- Distribution Centres: 7 (At start of year was 3, Closed & Added during the year: 1 & 5)
- Divisional Offices: 6 (Pune, Ahmedabad, Mayapuri - Delhi, Gurugram, Kolkata, Patna)

10. **Markets served by the Company:** National and International

## SECTION B: FINANCIAL DETAILS OF THE COMPANY

1. Paid-up Capital: ₹ 53.89 Crores
2. Net Turnover: ₹ 5,948.90 Crores
3. Total Profit after Taxes: ₹ 374.33 Crores
4. Total Spending on Corporate Social Responsibility (CSR) as a percentage of profit after tax (%): 3.75%
5. List of Activities in which expenditure in 4 as above has been incurred:
  - (a) Livelihood & Skill Enhancement Programmes
  - (b) Preventive Health Care & Sanitation
  - (c) Rural/Community Development
  - (d) Promoting Education
  - (e) Ensuring Environmental Sustainability
  - (f) Restoration of Buildings and Sites of Historical Importance

## SECTION C: OTHER DETAILS

The Company, Kansai Nerolac Paints Limited (KNPL), has 4 subsidiaries (1 Domestic and 3 International). Perma Construction Aids Private Limited and Marpol Private Limited, wholly owned subsidiaries were merged with KNPL during the year. KNPL encourages its subsidiary companies to adopt its policies and practices.

## SECTION D: BUSINESS RESPONSIBILITY (BR) INFORMATION

### 1. Details of Director responsible for BR

(a) Details of the Director responsible for implementation of the BR policy:

1. DIN Number: 00306084
2. Name: Mr. H. M. Bharuka
3. Designation: Vice-Chairman and Managing Director up to 31st March, 2022

Mr. Anuj Jain, Managing Director from 1st April, 2022 has taken over the responsibility of implementation of BR Policy.

(b) Details of the BR head:

| No. | Particulars                | Details                                          |
|-----|----------------------------|--------------------------------------------------|
| 1   | DIN Number (if applicable) | -                                                |
| 2   | Name                       | Mr. Jason S. Gonsalves                           |
| 3   | Designation                | Director - Corporate Planning, IT, and Materials |
| 4   | Telephone Number           | 022 - 2499 2520                                  |
| 5   | Email ID                   | jasongonsalves@nerolac.com                       |

### 2. Principle-wise [as per National Voluntary Guidelines (NVGs)] BR policy/policies

#### Business Responsibility Report

This BR Report follows the National Voluntary Guidelines on social, environmental and economic responsibilities of business, as notified by the Ministry of Corporate Affairs, Government of India, which laid down the following principles:

(a) Details of compliance (Reply in Y/N):

| Questions                                                                                                                     | P1                                                                                                                                                                                                         | P2 | P3 | P4 | P5 | P6 | P7 | P8 | P9 |
|-------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|----|----|----|----|----|----|----|
| 1 Do you have a policy / policies for...                                                                                      | Y                                                                                                                                                                                                          | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
| 2 Has the policy been formulated in consultation with the relevant stakeholders?                                              | Y                                                                                                                                                                                                          | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
| 3 Does the policy conform to any national / international standards? If yes, specify? (50 words)                              | Y                                                                                                                                                                                                          | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
|                                                                                                                               | Policies have been formulated taking into consideration the laws of the land, environmental and safety norms. The policies are based on and are in compliance with the applicable regulatory requirements. |    |    |    |    |    |    |    |    |
| 4 Has the policy been approved by the Board? If yes, has it been signed by MD/Owner/CEO/ appropriate Board Director?          | Y                                                                                                                                                                                                          | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
|                                                                                                                               | Policies are prepared and discussed with management committee and approved.                                                                                                                                |    |    |    |    |    |    |    |    |
| 5 Does the Company have a specific committee of the Board/Director/Official to oversee the implementation of the policy?      | Y                                                                                                                                                                                                          | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
| 6 Indicate the link for the policy to be viewed online                                                                        | Links for the policies are mentioned in the table below                                                                                                                                                    |    |    |    |    |    |    |    |    |
| 7 Has the policy been formally communicated to all relevant internal and external stakeholders?                               | Y                                                                                                                                                                                                          | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
| 8 Does the Company have in-house structure to implement the policy / policies?                                                | Y                                                                                                                                                                                                          | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
| 9 Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances?   | Y                                                                                                                                                                                                          | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
| 10 Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency? | Y                                                                                                                                                                                                          | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |



| Principle   |                                                                                                                                                              | Applicable Policies                                                                                | Policy link                                                                                                                                 |
|-------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|
| Principle 1 | Businesses should conduct and govern themselves with Ethics, Transparency and Accountability                                                                 | a) Code of Conduct                                                                                 | <a href="https://www.nerolac.com/corporate-sustainability/downloads.php">https://www.nerolac.com/corporate-sustainability/downloads.php</a> |
|             |                                                                                                                                                              | b) Code of Conduct for Directors and Senior Management                                             | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                               |
|             |                                                                                                                                                              | c) Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                               |
|             |                                                                                                                                                              | d) Whistle Blower Policy                                                                           | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                               |
|             |                                                                                                                                                              | e) Statutory Compliance Policy                                                                     | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                               |
| Principle 2 | Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle                                      | a) Occupational Health, Safety & Environment Policy                                                | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                               |
| Principle 3 | Businesses should promote the well-being of all employees                                                                                                    | a) Code of Conduct                                                                                 | <a href="https://www.nerolac.com/corporate-sustainability/downloads.php">https://www.nerolac.com/corporate-sustainability/downloads.php</a> |
|             |                                                                                                                                                              | b) Code of Conduct on Affirmative Action                                                           | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                               |
|             |                                                                                                                                                              | c) Occupational Health, Safety & Environment Policy                                                | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                               |
|             |                                                                                                                                                              | d) Appropriate Social Conduct at Workplace Policy (Including POSH)                                 | Available in Employee Workline Portal                                                                                                       |
|             |                                                                                                                                                              | e) Medi-claim Policy                                                                               | Available in Employee Workline Portal                                                                                                       |
|             |                                                                                                                                                              | f) Maternity Policy                                                                                | Available in Employee Workline Portal                                                                                                       |
| Principle 4 | Businesses should respect the interests of, and be responsive towards, all stakeholders, especially those who are disadvantaged, vulnerable and marginalised | a) Corporate Social Responsibility Policy                                                          | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                               |
| Principle 5 | Businesses should respect and promote human rights                                                                                                           | a) Code of Conduct on Affirmative Action                                                           | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                               |
|             |                                                                                                                                                              | b) Occupational Health, Safety & Environment Policy                                                | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                               |
|             |                                                                                                                                                              | c) Policy on Health Related Ailments                                                               | <a href="https://www.nerolac.com/corporate-sustainability/downloads.php">https://www.nerolac.com/corporate-sustainability/downloads.php</a> |
|             |                                                                                                                                                              | d) Appropriate Social Conduct at Workplace Policy (Including POSH)                                 | Available in Employee Workline Portal                                                                                                       |

| Principle                                                                                                              | Applicable Policies                                                                   | Policy link                                                                                                                                                                                                                    |
|------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Principle 6 Businesses should respect, protect and make efforts to restore the environment                             | a) Occupational Health, Safety & Environment Policy                                   | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                                                                                                                  |
| Principle 7 Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner | a) Policy on Advocacy of Public & Regulatory Policy                                   | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a>                                                                                                                  |
| Principle 8 Businesses should support inclusive growth and equitable development                                       | a) Corporate Social Responsibility Policy<br>b) Code of Conduct on Affirmative Action | <a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a><br><a href="https://www.nerolac.com/financial/policies.html">https://www.nerolac.com/financial/policies.html</a> |
| Principle 9 Businesses should engage with, and provide value to, their customers and consumers in a responsible manner | a) Quality Policy                                                                     | Available in Employee Workline Portal                                                                                                                                                                                          |

(b) If answer to the question at serial number 1, against any principle, is 'No', please explain why. (Tick up to 2 options)

| Questions                                                                                                                           | P1 | P2 | P3 | P4 | P5 | P6 | P7 | P8 | P9 |
|-------------------------------------------------------------------------------------------------------------------------------------|----|----|----|----|----|----|----|----|----|
| 1 The Company has not understood the principles                                                                                     | -  | -  | -  | -  | -  | -  | -  | -  | -  |
| 2 The Company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles | -  | -  | -  | -  | -  | -  | -  | -  | -  |
| 3 The Company does not have financial or manpower resources available for the task                                                  | -  | -  | -  | -  | -  | -  | -  | -  | -  |
| 4 It is planned to be done within the next 6 months                                                                                 | -  | -  | -  | -  | -  | -  | -  | -  | -  |
| 5 It is planned to be done within the next 1 year                                                                                   | -  | -  | -  | -  | -  | -  | -  | -  | -  |
| 6 Any other reason (please specify)                                                                                                 | -  | -  | -  | -  | -  | -  | -  | -  | -  |

### 3. Governance Related to BR

- The Board of Directors assesses the BRR performance of the Company annually and the Management Committee reviews the BRR Performance Quarterly.
- The Company publishes the information on BRR, which forms part of the Annual Report of the Company.

The Company has been publishing the Sustainability Report since 2012, in FY 2018-19, the Sustainability Report formed a part of the Annual Report of the Company. From FY 2019-20, the Company started publishing Annual Report in the Integrated Report format. The Annual Report is available on the website of the Company at [www.nerolac.com](http://www.nerolac.com).

## SECTION E: PRINCIPLE-WISE PERFORMANCE

### Principle 1: ETHICS, TRANSPARENCY AND ACCOUNTABILITY

**Businesses should conduct and govern themselves with ethics, transparency and accountability**

**Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/No**

**Does it extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?**

The KNPL Corporate Governance philosophy, which encompasses Directors, Senior Management, and all employees, is guided by a Board-approved policy. Conflicts of interest, corporate opportunities, confidentiality, related-party transactions, insider trading, compliance with laws, rules, and regulations, asset protection and proper usage, fair dealing, and ethical business practises are all addressed. It encourages people to report anything that are illegal or unethical, among other things. The provisions are available on the Company's website.

KNPL has a Code of Conduct (CoC), extended to group companies and covers acts such as deception, bribery, forgery, extortion, corruption. It also mentions that no employee is allowed to accept any form of illegal gratification.

KNPL also has a Whistle Blower Policy which allows employees to bring to the attention of the Management, promptly and directly, any unethical behaviour, suspected fraud or irregularity in the Company practices which is not in line with the Company's CoC. If it is proved that any employee has accepted any illegal gratification, that employee is liable for termination from employment.

Fraud detection is a part of the Audit Committee and the Risk Management Committee. Whistle-Blower complaints are reviewed by the Audit Committee of the Board.

Web-link - <https://www.nerolac.com/corporate-sustainability/downloads.php>

All new joiners are inducted on the KNPL Code of Conduct as well as the Whistle-Blower Policy. The Company's Code

**Compliance training workshop covering policies on Code of Conduct, Code of Conduct for Affirmative Action, Whistle Blower, Appropriate Social Conduct at Workplace, Health related Ailment Policy was undertaken for all employees in the organisation.**

of Conduct is the part of the new-joiner kit and Corporate Orientation programme. An Induction Confirmation Undertaking (ICU) is received from all new joiners. Also, 100% of the employees were covered for awareness programmes on 9 Principles during the reporting period. Compliance training workshop covering policies on Code of Conduct, Code of Conduct for Affirmative Action, Whistle Blower, Appropriate Social Conduct at Workplace, Health-related Ailment Policy was undertaken for all employees in the organisation. The employees were briefed about key aspects of these policies and query related to the policies were addressed. Also, grievance and complaint redressal mechanism was emphasised upon.

During FY 2021-22, KNPL received 2 shareholder complaints and 4 whistle-blower complaints. All shareholder and whistle-blower complaints have been resolved and none is under investigation.

For the year in consideration, no cases of corruption and conflicts of interest were reported in FY 2021-22, thus no corrective action is taken or underway on issues related to fines/penalties/action taken by regulators/law enforcement agencies/judicial institutions. No staff or employee has been dismissed / disciplined for corruption-related activity.

## Principle 2: PRODUCTS LIFECYCLE SUSTAINABILITY

**Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle**

**List up to 3 of your products or services whose designs have incorporated social or environmental concerns, risks and/or opportunities.**

Consumers increasingly prefer responsible brands and businesses. KNPL incorporated responsibility and sustainability into their goal as well as their products and commits to incorporate sustainability principles into various stages of its product life cycle, including:

- a) **Product design:** To adhere to relevant sustainability requirements, necessary care is taken as part of the new-product design process at the design stage itself. Our decorative products are designed to be heavy-metal free and low VOC. Our Automotive paints are designed as heavy metal free and less resource use at customer end application. The Company will continue to conduct research and introduce environmentally friendly products and resource efficient solutions for its customers.
- b) **Sourcing of raw materials:** KNPL has green procurement guidelines which factors social, ethical and environmental aspects before on-boarding of new suppliers and review of existing suppliers. The Company is focussed on identifying and implementing material processed through the bio-route.
- c) **Manufacturing of product:** KNPL has focussed on introducing or expanding technology products that enable waste reduction, VOC reduction, efficient resource use, energy savings, and process time reduction in manufacturing of products.
- d) **Disposal by consumers:** On the product packaging, KNPL provides information such as environmental and social parameters relevant to the product, as well as guidelines for its safe and responsible use. It also mentions the product's safe disposal after it has been used.

KNPL believes in using safer chemicals in its products and is committed to reduce and phase out hazardous substances in the products. KNPL uses raw materials which are heavy-metal-free by design (Decorative – 100%, Automotive – 100%, Powder Coating 93.8%, Performance Coating 94.6%).

### Some of the Offerings in FY 2021-22

#### High performance Solid Monocoat for CV segment.

KNPL developed product with High Durability and Chemical Resistance. This has resulted in better aesthetic

performance of the vehicles for longer periods. Further it has reduced carbon footprint by lower energy consumption.

#### Neropoxy Solvent Free Coating" for Water Pipeline Internal Coating.

Product developed to meet the social needs of transporting clean water in pipelines. The product suitability for use on coming in contact with water on the basis of impact on water quality, such that the water could be utilised for household purposes.

#### Coating for Rotamould Nylon Petrol Tank.

Product is developed as an Adhesion promoter primer with High Crosslink polymeric resin system in 2K quality with better adhesion, Low VOC system, low energy usage and excellent surface filling property.

**For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):**

- (a) **Reduction during sourcing/production/ distribution achieved since the previous year throughout the value chain?**

KNPL as part of its Sustainability Agenda continues to reduce its carbon-footprint through reduction in energy usage and through use of energy from renewable source. KNPL has also reduced its water usage per unit of paint production. Details are provided under the Natural Capital Section of the Annual Report.

Products are designed without Persistent Organic Pollutants (POPs), which are synthetic organic chemicals which are persistent in the environment, accumulate in the food chain and are known for their acute toxicity.

Paint production is done by KNPL on flexible production lines with multiple brands produced on same line. Besides, common infrastructure is used to produce and distribute different paints. So, there is the practical difficulty of isolating data on resource utilisation for the above-mentioned products. Through a combination of 99 depots and Information Technology systems, KNPL has ensured that kilometres covered by the finished goods are minimised. KNPL has also taken various measures to ensure that spillages and damages incurred during transportation are minimised.

At the plants, various initiatives are undertaken systemically to reduce wastage, like residual raw materials in bags and barrels, and solvents used for cleaning, amongst others. Details are provided under the Natural Capital Section of the Annual Report.





**Resource use across the value chain for the products mentioned:**

**High performance Solid Monocoat for CV segment.**

The solid monocoat technology eliminated basecoat manufacturing and reduced material consumption. Further, Innovation in Solid monocoat technology, is reduced curing temperature by 20° C. This has reduced carbon footprint.

**Neropoxy Solvent Free Coating” for Water Pipeline Internal Coating.**

This is a low VOC product and gives thickness of 400 microns in one coat, thereby reducing material consumption.

**Coating for Rotamould Nylon Petrol tank.**

It is low VOC system with lower baking temperature (80°/30 mins), thereby reducing energy consumption.

**(b) Reduction during usage by consumers (energy, water) has been achieved since the previous year?**

It has been our endeavour to develop products with lesser environmental footprint and efficient resource used at the time of application at customer end. Various technologies that we have introduced like 3 coat 1 Bake, Medium High solids, Monocoats have helped reduce the resource use at consumer's end through use of less energy and less material usage.

**Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.**

The Company has a well laid out policy on Supplier Code of Conduct. The policy focusses on environment protection, human rights, anti-corruption and fair trade practices. It is our endeavour that our suppliers adhere to the procurement guidelines laid out in the policy.

**The Company has a well laid out policy on Supplier Code of Conduct. The policy focusses on environment protection, human rights, anti-corruption and fair trade practices.**



**>65%**

**sourcing is done from manufacturers who have a formal sustainability programme.**

More than 65% sourcing is done from manufacturers who have a formal sustainability programme. The Company is also focussed on identifying and implementing material processed through the renewable source.

**Has the Company taken any steps to procure goods and services from local and small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve the capacity and capability of local and small vendors?**

KNPL actively encourages and works with local and small producers to improve their capability and capacity through quality programmes, suggestions, feedback on price competitiveness, vendor ratings, and audits at supplier factories by purchase, as well as interaction with senior management.

KNPL has collaborated with suppliers to establish units near its production sites and has worked with a group of suppliers to increase capacity.

KNPL has also engaged with suppliers to develop local substitutes for imported raw materials and participated with them to improve quality aspects as part of their capability-enhancement initiative.

Most packing material used is sourced from local and/or small suppliers within a 10-kilometre radius of production sites.

**Does the Company have a mechanism to recycle products and waste? If yes, what is the percentage of recycling of products and waste (separately as 10%)? Also, provide details thereof, in about 50 words or so.**

KNPL has a robust mechanism in place to ensure that products and waste are recycled efficiently. KNPL's

plants have zero liquid discharge and the same is included in the plant design for all new project expansions. Solvent Recovery Unit (SRU) is installed at plants to distil solvents. SRU removes sludge in the used solvent, thus making it reusable. TiO<sub>2</sub> Dust and Powder flakes are also recovered during the process to reduce the wastage.

Across all plants, a standard recycling process is followed, and the technical team advises recycling of products based on their chemical composition. A tracking mechanism is in place to track the recycling of products on a batch-by-batch basis.

Percentage of recycling of products: >10%

Percentage of waste recycled: >10%

### Principle 3: EMPLOYEES' WELLBEING

Businesses should promote the wellbeing of all employees

| S. No. | Particulars                                                                                                                                                                                          | Details                                                                                                                                                                   |                         |
|--------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|
| 1.     | Please indicate the total number of employees                                                                                                                                                        | 3,105                                                                                                                                                                     |                         |
| 2.     | Please indicate the total number of employees hired on temporary/contractual/casual basis                                                                                                            | 4,643                                                                                                                                                                     |                         |
| 3.     | Please indicate the number of permanent women employees                                                                                                                                              | 70 (2.3%)                                                                                                                                                                 |                         |
| 4.     | Please indicate the number of permanent employees with disabilities                                                                                                                                  | KNPL have set a target of representation of disabled workforce up to 0.25% of White Collar manpower by March'24.                                                          |                         |
| 5.     | Do you have an employee association that is recognised by management                                                                                                                                 | KNPL has Operators' Trade Unions at each of its plant locations. The management discusses and settles issues pertaining to wages and service conditions with these Unions |                         |
| 6.     | What percentages of your permanent employees are members of this recognised employee association?                                                                                                    | 22.2% of the strength of permanent employees are unionised                                                                                                                |                         |
| 7.     | Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year. | No complaints relating to child labour, forced labour, involuntary labour and sexual harassment are filed and pending as of end of the reporting period FY 2021-22        |                         |
| 8.     | What percentage of your under-mentioned employees were given following training in the last year?                                                                                                    | Safety Trainings                                                                                                                                                          | Skill-Upgrade Trainings |
|        | (a) Permanent Employees                                                                                                                                                                              | 100%                                                                                                                                                                      | 94%                     |
|        | (b) Permanent Women Employees                                                                                                                                                                        | 47%                                                                                                                                                                       | 79%                     |
|        | (c) Casual/Temporary/Contractual Employees                                                                                                                                                           | 100%                                                                                                                                                                      | 90%                     |
|        | (d) Employees with Disabilities                                                                                                                                                                      | NA                                                                                                                                                                        | NA                      |

KNPL views employees as a key stakeholder. Their wellbeing is a core component of KNPL's philosophy and this is reflected in the approach toward health and safety of employees at the workplace.

This diverse workforce comprises different age groups, gender, religion, nationality, intellectual abilities and professional backgrounds. KNPL focusses on creating a stimulating work environment, supported by a caring and compassionate work ethos to enable employees to thrive and deliver winning performance.

**No complaints relating to child labour, forced labour, involuntary labour and sexual harassment are filed and pending as of end of the reporting period FY 2021-22**



KNPL provides the following employee benefits:

1. Welfare facilities like subsidised food, bus service, medical check-up, amongst others, for its workmen. KNPL also provides medi-claim facility to employees.
2. Employees' Group Insurance Policy (EGI): In the unfortunate event of the demise of a permanent employee, the family of the deceased employee will be supported financially by the policy. The EGI policy proposes an assured financial assistance as 'sum assured' which becomes applicable in the event of an unfortunate death of the employee whilst in service and is payable to the grantees of the benefit of the Beneficiary of the employee.
3. At manufacturing locations, programmes like investment opportunities, career options, health & hygiene practices, etc., are held for employees and their family members.
4. Industry experts are also invited to share their knowledge and experience for the benefit of the employees.

Further details on initiatives have been given in Human Capital and Management Discussion and Analysis (People section)

#### Principle 4: STAKEHOLDER ENGAGEMENT

**Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalised.**

**Has the Company mapped its internal and external stakeholders? Yes/No**

The Company fosters working partnerships, builds trust through productive relationships, and views internal and external stakeholders as integral to its business as effective stakeholder engagement process is necessary to achieve its sustainable goal of inclusive growth.

##### Internal Stakeholders:



##### External Stakeholders:



The Company's business operations have evolved as a result of regular and extensive stakeholder engagement over many years, balancing business priorities and responsibility towards economic, environmental, and social sustainability.

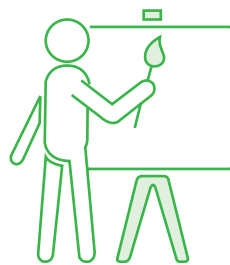
**Out of the above, has the Company identified the disadvantaged, vulnerable & marginalised stakeholders?**

Yes, KNPL has put in place systems and procedures to identify, prioritise and address the needs and concerns of its stakeholders, across businesses and units, in a continuous, consistent and systematic manner.

**Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalised stakeholders? If so, provide details thereof, in about 50 words or so.**

The Company has various initiatives in place to cover local communities in and around the plants. Construction of toilets, providing dustbins, conducting health camps and medical facilities, building classrooms, beautification of the surroundings, plantation of trees, construction of borewells and providing pipelines for water are some of the activities that the Company engages in.

The Company conducts training programmes for people engaged in the painting profession to enhance their skills and capabilities. More than 61,000 painters were imparted advanced training in paint application through classroom sessions or by using a Mobile Training Academy (mini-van)



**More than 61,000**  
painters were imparted advanced training in paint application through classroom sessions or by using a Mobile Training Academy

The five main CSR areas related to vulnerable sections of society are:

1. Rural / Community Development (in villages around the Company's facilities)
2. Livelihood & Skill Enhancement (national level)
3. Promoting Education
4. Healthcare & Sanitation
5. Environment Sustainability

Details of the initiatives are listed in CSR section of Annual Report as well as Social and Relationship Capital under Capital section.

### Principle 5: HUMAN RIGHTS

#### Businesses should respect and promote human rights

**Does the policy of the Company on human rights cover only the Company or extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?**

KNPL's commitment to human rights, such as no forced labour, no child labour, compliance with minimum wages, no discrimination, gender equality, prevention of sexual or any other form of harassment, occupational safety, employee health and well-being, is covered under Company's Code of Conduct Policy, Policy on Code of Conduct on Affirmative Action, Policy on Health Related Ailments, Appropriate Social Conduct at Workplace Policy (including POSH) and OHS&E Policy. These policies are applicable for the organisation as well as its subsidiaries and group companies. Elements of the human rights have also been included in our policy on Supplier Code of Conduct.

We have an Internal Complaints Committee (IC) consisting of 6 members from different functions including external member. The prime objective of the IC is to ensure effective intervention and timely handling of the matters falling under the Company's Appropriate Social Conduct at Workplace Policy (including POSH). We have aligned our Company Policies in line with UNGC Principle which had been published in last year's Annual Report FY 2020-21.

**During the FY 2021-22, the Company did not receive any complaints with regard to human rights.**

**How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?**

During FY 2021-22, the Company did not receive any complaints with regard to human rights.

### Principle 6: ENVIRONMENT

#### Businesses should respect, protect and make efforts to restore the environment

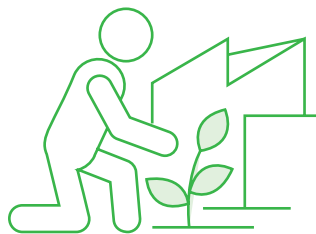
**Does the policy related to Principle 6 cover only the Company or extends to the Group/Joint Ventures/Suppliers/Contractors/ NGOs/others?**

KNPL has a well-defined Occupational, Health & Safety and Environmental Policy (OHS&E) in line with ISO 45001 standards and attaches high priority to this policy. The management ensures that declared policy is extended and made available to all employees and its subsidiaries / associate companies.

**Does the Company have strategies / initiatives to address global environmental issues such as climate change, global warming, etc.? Y/N. If yes, please give hyperlink for webpage etc.**

KNPL is a responsible organisation and has taken a number of steps over the years to reduce its carbon footprint. It has increased its renewable energy contribution year-on-year. It has developed products which are sustainable and use less energy. The company has established a framework for climate change management. It is working with experts to address risks due to climate change and also adopt science-based target to address global warming.

In FY 2021-22, we planted 13,324 trees, of which 6,564 were planted within factory premises while 6,760 were planted outside factory premises.



**In FY 2021-22, we planted**

**13,324 trees**

**of which 6,564 were planted within factory premises while 6,760 were planted outside factory premises.**

Information on detailed initiatives are covered in the Natural Capital section of this Annual Report and can be accessed at <https://nerolac.com/corporate-sustainability/environmentalperformance.html>

**Does the Company identify and assess potential environmental risks?**

Yes, KNPL has a formal mechanism to identify and assess potential environmental risks. KNPL has taken multiple initiatives to mitigate those risks. Risk management frameworks and mitigation plans were created by assessing potential risks related to water security, climate change, and other environmental risks that could impact the business scenario.

**Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?**

Currently no project is registered under Clean Development Mechanism. However, every year the Company is undertaking various initiatives to reduce Green House Gas (GHG) emissions.

Yes, the Company files environment compliance reports as per Pollution Control Board requirements.

**Has the Company undertaken any other initiatives on – clean technology, energy efficiency, renewable energy, etc. Y/N. If yes, please give hyperlink for web page etc.**

The Company continued to undertake initiatives on energy conservation and optimal energy utilisation in all areas of operations. The Company has increased its contribution for power from renewable source such as solar and wind power. Also, several initiatives are taken to reduce energy

consumption per unit of paint produced. Details of this is available in Natural Capital section under capitals.

The Company's R&D team has developed several technologies which are environment-friendly and energy-efficient, for example, Low VOC, High solids, Heavy metal free, 3C1B (3 coat 1 bake). More details are available in Intellectual Capital under capitals and under R&D Section of the Management and Discussion Analysis in the Board's Report.

**Are the Emissions/Waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?**

KNPL's emissions/waste are within the CPCB/permissible SPCB's limits for fiscal years 2021-22.

These are continuously monitored by online monitoring systems installed at all of KNPL's manufacturing sites. We are also complying with the National Ambient Air Quality Standards (NAAQS), 2009, to ensure ambient air-quality parameters.

**Number of show cause/ legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.**

During the reporting period, the Company did not receive any show cause/ legal notices from CPCB/SPCB, which are pending as on end of FY 2021-22.

**Principle 7: POLICY ADVOCACY**

**Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner**

**Is your Company a member of any trade and chamber or association? If Yes, name only those major ones that your business deals with:**

KNPL engages with the public and regulatory bodies in a responsible manner. It participates in the same on a need basis. KNPL is a member of the following trade associations:

| S. No. | Name of the trade and industry chambers/ associations | Reach of trade and industry chambers/ associations (State/National) |
|--------|-------------------------------------------------------|---------------------------------------------------------------------|
| 1      | Indian Paint Association                              | National                                                            |
| 2      | NHRD - Human Resources Development                    | National                                                            |
| 3      | Bombay Management Association                         | National                                                            |
| 4      | Indian Chemical Council                               | National                                                            |
| 5      | Bombay Chamber of Commerce & Industry                 | National                                                            |

**The Company has established a framework for climate change management. It is working with experts to address risks due to climate change and also adopt science-based target to address global warming.**

| S. No. | Name of the trade and industry chambers/ associations | Reach of trade and industry chambers/ associations (State/National) |
|--------|-------------------------------------------------------|---------------------------------------------------------------------|
| 6      | Maharashtra Economic Development Council              | State                                                               |
| 7      | National Safety Council                               | National                                                            |
| 8      | Confederation of Indian Industry                      | National                                                            |
| 9      | The Colour Society                                    | National                                                            |
| 10     | Advertising Standards Council of India                | National                                                            |
| 11     | The Institute of Cost Accountants of India            | National                                                            |

Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes, specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy Security, Water, Food Security, Sustainable Business Principles, Others):

Yes. The Company collaborates with regulatory authorities and relevant public bodies to develop public policies that are consistent with the Company's business and societal work, as well as its sustainability and compliance commitments. KNPL also has a defined policy on public advocacy.

#### Principle 8: INCLUSIVE GROWTH AND EQUITABLE DEVELOPMENT

**Businesses should support inclusive growth and equitable development**

Does the Company have specified programmes/initiatives/projects in pursuit of the policy related to Principle 8? If yes, details thereof.

KNPL has programmes in place to promote inclusive growth and equitable development. KNPL, guided by its Corporate Social Responsibility Policy, participates in a variety of activities that promote inclusive growth and development for all. The broad areas of work include livelihood and skill development, preventive health care and sanitation, education promotion, and rural and community development.

Details are covered in the Social Capital section under Capitals & Annexure 1 to the Board's Report pertaining to CSR.



**More than 8%**  
of employees were involved in charitable work in this year

Are the programmes/projects undertaken through in-house team/own foundation/external NGO/government structures/any other organisation?

Projects are carried out by in-house expert teams and in collaboration with like-minded expert partner organisations that share our Company's goal of achieving inclusive growth. CSR activities will be carried out either by the Company itself or through a Trust/Section 8 company (under the Companies Act, 2013) that the Company will establish.

CSR activities will be carried out by the Company's management. KNPL takes a variety of steps to engage employees in CSR and charitable work. More than 8% of employees were involved in charitable work in this year.

Have you done any impact assessment of your initiative?

More than 95,000 beneficiaries have received benefits from different activities under CSR programmes such as construction of classrooms, labs, toilets, setting up health camps, treeplantation, digging bore-wells, rejuvenating water bodies, etc.

The Company has also carried out impact assessment in terms of Rule 8(3) of the Companies (Corporate Social Responsibility Policy) Rules, 2014, as amended, through an independent agency for three projects, each having outlay of ₹ 1 Crore or more and that have completed not less than one year before undertaking the impact study.





# ₹14.06 Crores

## was spent towards various CSR projects during FY 2021-22

**What is your Company's direct contribution to community development projects - Amount in INR and the details of the projects undertaken?**

An amount of ₹ 14.06 Crores was spent towards various CSR projects during FY 2021-22.

**Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.**

KNPL ensures all community development initiatives make an impactful and effective contribution to society at large, with involvement and engagement of its employees, along with partnerships with local and government bodies. The number of beneficiaries of the CSR activities is also monitored. Details of the CSR initiatives undertaken by KNPL are set out in Annexure 1 to the Board's Report.

### Principle 9: CUSTOMER VALUE

**Businesses should engage with and provide value to their customers and consumers in a responsible manner**

**What percentage of customer complaints/consumer cases are pending as on the end of financial year?**

All product complaints from customers are recognised and recorded in the IT system. Each complaint is assigned a distinct reference number. They are then tracked to completion at the customer end by the Quality Assurance function in accordance with internally established timeline norms. Most products are batch-managed and KNPL conducts root-cause analysis to ascertain the issue with a product when needed. KNPL extends this rigour of monitoring and control of quality to its suppliers as well.

KNPL has established a dedicated consumer helpline, 1800-209-2092, where customers can record their concerns. Consumer-related issues are also tracked until they are resolved successfully. Furthermore, dealers can contact KNPL and file any complaints they may have about the company. These are then tracked until they are successfully resolved.

There are 10 consumer-related cases and 11 (1.6%) customer complaints pending at the end of the Financial Year.

**Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes/No/N.A./Remarks (additional information)**

Yes, the products of KNPL display all information as mandated by law. Additionally, KNPL discloses information such as directions for use, environmental parameter relevant to product and instructions on safe disposal also provided on the product packaging to inform and educate consumers about safe and responsible usage of products or services.

Product information is also available on the Product Data sheet, and the MSDS (Material Safety Data Sheet) is available with customers of the company and on the website of the Company, as applicable. It includes product description and information on product performance features & benefits, its application and usage and precautions for safe usage along with technical data.

Few of this information such as description, performance features & benefits, application & safe usage instructions are also provided on the product packaging to inform and educate consumers about safe and responsible usage of products or services.

All the required information on our products and services is available & can be accessed at our website <https://www.nerolac.com/>

The information is updated timely on the platform. Apart from this, various digital product posts are also offered on our social media handles such as Facebook, YouTube, Instagram, Twitter and LinkedIn for customer engagement.

**Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behaviour during the last five years and pending as on end of financial year? If so, provide details thereof, in about 50 words or so.**

There are no cases filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behaviour during the last five years and pending at the end of FY 2021-22.

**Did your Company carry out any consumer survey/ consumer satisfaction trends?**

KNPL regularly engages with customers to get their feedback on products and gauge their satisfaction level. Engagement mechanisms include brand track, customer

**KNPL regularly engages with customers to get their feedback on products and gauge their satisfaction level.**

meets, customer satisfaction feedback and surveys. Detailed customer surveys are carried out and based on the feedback received; KNPL undertakes and tracks various initiatives to ensure that the overall satisfaction level of a customer is improved.

Mumbai, 10th May, 2022

For and on behalf of the Board

Anuj Jain  
Managing Director